Module 5: Advanced Tools, Pitches, Portfolio, Careers and Emerging Trends

A Practical VC Module for Entrepreneurship Students | Days 12–14 | 3 sessions × 90–120 minutes

Module purpose: This module teaches students how venture capitalists evaluate pitch decks, manage portfolios after investing, understand the Indian and global VC ecosystem, assess emerging trends, and build careers in venture capital. Students will learn to screen startups like junior analysts, construct a simple portfolio, evaluate AI defensibility, and produce an investment memo for their personal portfolio.

Final deliverable — Demo Day Analyst Pack: one pitch-deck evaluation scorecard, one investment memo, one portfolio-construction exercise, one India sector map, one AI-defensibility assessment, and a 3-minute investment-committee presentation.

Day 12: Pitch Evaluation, Portfolio Management and Risk

Learning outcomes: Evaluate a pitch deck using an investor framework; identify red flags; explain diversification, follow-ons, pro-rata, reserves, ownership, and exit routes; build a basic VC portfolio plan.

1. How VCs evaluate pitch decks

Every startup tells its story through a pitch deck—a concise visual narrative designed to persuade investors that its idea, team, market approach, and execution ability can generate returns. For a junior analyst, pitch evaluation is one of the most important early VC skills because it combines business fundamentals, storytelling clarity, evidence, and investor logic. A strong deck must communicate the opportunity quickly, demonstrate traction and credibility, and end with a clear investment ask.

Evaluation framework — clarity, logic, evidence and design:

Element	What to assess	Red flags
Problem and customer	Is the problem important, frequent, and painful? Who exactly suffers?	Vague problem; “everyone” as customer; no evidence of demand.
Solution and product	Does the product solve the problem better than existing alternatives?	Feature list without outcome; no demo, roadmap, or differentiation.
Market	Is the market large, reachable, and correctly sized from the bottom up?	Top-down TAM only; confusing market definitions; unrealistic penetration.
Business model	How does the company make money, acquire customers, and retain them?	No pricing logic; unclear unit economics; customer-acquisition cost ignored.
Traction	Is there evidence of revenue, users, retention, growth, pilots, or partnerships?	Vanity metrics; no cohort retention; claims without sources.
Team	Do founders have domain expertise, execution ability, and founder-market fit?	No relevant experience; incomplete team; no plan to hire key roles.
Competition and moat	What alternatives exist, and why can this company win sustainably?	“No competitors”; no defensibility; ignores incumbents and AI-platform risk.
Financials and ask	Are projections logical, and is the funding ask tied to clear milestones?	Unrealistic hockey-stick projections; vague use of funds; no runway plan.
Design and storytelling	Is the deck clear, concise, visually credible, and easy to follow?	Overloaded slides; inconsistent data; no clear narrative or call to action.

Pitch-deck scorecard: Score each element from 1–5 for clarity, logic, evidence, and design. Add a final recommendation: invest / meet again / pass. Students must justify the score using facts from the deck, not enthusiasm.

Class exercise: Evaluate one real or anonymised pitch deck in teams. Identify the strongest slide, the weakest assumption, three red flags, two diligence questions for the founder, and an invest/pass/monitor recommendation.

2. Portfolio strategy: diversification, follow-ons and pro-rata

A VC fund is not judged by whether every startup succeeds. Early-stage portfolios have high failure rates, long holding periods, and a small number of outlier companies that can return the entire fund. Portfolio construction is therefore as important as individual deal selection.

- Diversification: spreading capital across sectors, stages, geographies, founder profiles, and business models.
- Follow-on investment: investing again in an existing portfolio company in a later round.
- Pro-rata rights: an existing investor’s right to invest in future rounds to maintain ownership percentage.
- Reserves: capital set aside for follow-ons in the strongest companies.
- Ownership target: the stake a fund aims to hold after a financing round.
- Concentration limits: caps on exposure to one company, sector, geography, or theme.

Main risks: market risk, product risk, founder/team risk, execution risk, competition risk, regulatory risk, financing risk, and exit risk.

Exercise — Build a ₹100 crore early-stage fund: Make 20 investments of ₹2 crore each; reserve ₹60 crore for the strongest 5–7 companies; target 8–12% ownership at entry; cap sector exposure at 25% and single-company exposure at 15%; justify follow-on decisions using traction, retention, market size, and founder quality.

3. Value-add after investing and exit routes

Investors add value through recruiting, customer introductions, follow-on fundraising support, strategy, governance, crisis management, and market intelligence.

Exit route	Meaning	Student takeaway
IPO	Company lists on a public exchange.	Provides liquidity, validation, and continued upside; requires scale, governance, and often profitability.
M&A	Company is acquired by another business.	Often faster than IPO; strategic buyers seek technology, customers, talent, or distribution.
Secondary sale	Existing shares are sold to another investor.	Allows early investors to realise partial returns before a full exit.

India context: Public-market exits accounted for over 65% of Indian VC exit value in 2025, and IPO-led VC/growth exits increased approximately 30% year over year. Students should map a startup's realistic IPO, acquisition, and secondary-sale paths.

Day 13: VC in India and Abroad

Learning outcomes: Map the Indian VC landscape and emerging sectors; compare Indian and global VC culture; explain Category I AIFs, VC funds, and angel funds; apply current SEBI rules with appropriate caveats.

1. Indian VC landscape: key funds and emerging sectors

India's venture ecosystem has entered a more selective, monetisation-led phase. Investors increasingly prioritise capital efficiency, sustainable profitability, clear monetisation pathways, and credible exit routes. Indian PE/VC investment activity moderated to US$13.1 billion across 360 deals in Q1 2026, with technology leading sector investment at US$2.2 billion.

Sector	Why it matters	What investors seek
AI / generative AI	AI is reshaping software, services, and enterprise workflows.	Proprietary data, workflow ownership, technical talent, measurable ROI, retention.
Fintech	Deep digital-payment infrastructure and a large underbanked population.	Regulatory awareness, distribution, unit economics, credit quality.
SaaS / software	Indian SaaS can serve domestic and global customers.	Product depth, expansion revenue, gross margin, international sales.
Consumer tech	Large digital consumer base supports commerce, media, and services.	Retention, cohort economics, contribution margin, brand strength.
Climate / clean energy	Falling technology costs, policy support, and green financing expand the market.	Unit economics, execution capability, policy dependence, scalability.
Deeptech / space	Growing engineering talent and strategic national interest in advanced technology.	Technical validation, long development cycles, enterprise or government demand.

Student task: Build an India VC landscape map of 8–10 active funds. Include fund name, stage focus, sector thesis, 1–2 notable portfolio companies, and one recent investment with date and source. Use official fund websites and reputable announcements, not social-media lists.

2. Indian vs global VC culture, with one valuation example

Dimension	India	Global / US-style VC
Funding logic	Increasingly monetisation-led and capital-efficient.	Varies by stage; can range from efficient growth to aggressive expansion.
Exit environment	Public markets are a major source of exit value; IPOs and secondaries matter.	Deeper, more mature M&A and public-market ecosystems.
Sector emphasis	Fintech, SaaS, consumer, AI, climate, deeptech.	AI, enterprise software, biotech, climate, defence, frontier tech.
Founder-investor culture	Often relationship-led, with strong local networks.	More institutionalised processes in many large funds.
Regulation	SEBI-regulated AIF framework.	Jurisdiction-specific fund regulation.

Valuation exercise: Select one recent, well-documented Indian startup round. Identify amount raised, pre-/post-money valuation, investors, implied ownership transferred, available revenue/growth/retention data, and whether the valuation appears momentum-led or fundamentals-led. Require students to cite the company announcement and publication date; valuations change quickly.

3. AIF basics and current SEBI rules

Most institutional VC and angel investing in India occurs through SEBI-regulated Alternative Investment Funds. Category I AIFs include venture capital funds, SME funds, social venture funds, infrastructure funds, and similar socially or economically desirable vehicles.

- SEBI amended the AIF Regulations in September 2025, creating a revised framework for angel funds under Chapter III-A.
- Existing angel funds are now registered Category I AIF–Angel Funds rather than a sub-category of Category I AIF Venture Capital Funds.
- Angel funds may raise capital only from Accredited Investors.
- Maximum investment per investee company, including follow-ons, increased from ₹10 crore to ₹25 crore.
- Minimum lock-in was reduced from one year to six months.
- Follow-ons are permitted in existing portfolio companies even if they no longer meet "start-up" criteria.
- Existing angel funds received an extended transition period until 31 March 2027 for the Accredited Investor requirement.

Mandatory note: SEBI rules and timelines change. Verify the latest SEBI Master Circular and consult a qualified VC/legal partner before investment or fundraising decisions. This module is educational, not legal or investment advice.

Quick quiz: 1) Follow-on vs pro-rata? 2) Name four VC risks. 3) Which exit route dominated Indian VC exit value in 2025? 4) Which AIF category covers VC and angel funds? 5) Current angel-fund cap per investee company? Answers: new investment vs preserving ownership; market/product/team/execution/competition/regulatory/financing/exit; public markets; Category I AIF; ₹25 crore.

Day 14: Future of VC and Careers

Learning outcomes: Evaluate AI, climate tech, micro-VCs, and rolling funds; assess AI defensibility; understand the VC career ladder; produce an investment memo as a portfolio piece.

1. Emerging trends and AI defensibility

- AI: Investors are moving from experimentation to measurable ROI, proprietary data, differentiated models, and deep technical talent.
- Climate tech: Clean energy, storage, industrial decarbonisation, and adaptation benefit from falling costs, policy support, and green financing.
- Micro-VCs: Smaller funds invest at pre-seed/seed with focused theses, operator networks, and faster decisions.
- Rolling funds: Capital is raised continuously in smaller tranches rather than through a traditional fixed-life fund.
- Deeptech: Hardware, space, robotics, and advanced manufacturing require longer cycles but can create durable advantages.

Questions to judge whether an AI startup is defensible:

1. Workflow ownership: Does it own an end-to-end business workflow or merely add a feature?
2. Data advantage: Does it have proprietary, hard-to-copy data that improves with usage?
3. System of record: Does it become the place where critical customer data or decisions live?
4. Network effects: Does each new user, customer, or partner increase product value?
5. Distribution and embedding: Is it embedded in customer operations, integrations, or procurement?
6. Technical/domain expertise: Does the team have a real advantage in models, domain knowledge, or deployment?
7. Commercial proof: Can it show retention, expansion revenue, payback, and measurable ROI?
8. Platform risk: What happens if a foundation-model provider launches a similar feature?

Class exercise: Give each team an AI startup pitch or product page. Identify the customer job-to-be-done, the company's moat, the metric proving ROI, the main platform risk, and an invest/pass/monitor recommendation.

2. Career path: Analyst to Associate to Partner

Role	Core work	Skills expected
Analyst	Sourcing, market research, data rooms, models, first-draft memos.	Research, spreadsheets, writing, curiosity, attention to detail.
Associate	Deal evaluation, diligence, founder meetings, memo ownership.	Judgment, communication, sector knowledge, relationships.
Principal	Leading deals, portfolio support, developing theses.	Investment judgment, negotiation, operational understanding.
Partner / GP	Sourcing, decisions, board work, fundraising, fund strategy.	Network, conviction, capital raising, governance, long-term company building.

How to get into VC: Choose a narrow lane; publish 3–5 investment memos; maintain a sourcing tracker; attend demo days and founder events; support angels, micro-VCs, accelerators, or student funds; combine direct outreach with advertised roles over a focused 90-day plan; and show proof of work rather than a generic resume.

3. Analyst skills, thesis creation and portfolio piece

Core analyst skills: research, bottom-up market sizing, due diligence, financial reasoning, memo writing, thesis creation, and founder judgment. A strong analyst can turn scattered information into a clear, concise investment view.

Investment memo template:

9. Company snapshot: name, sector, stage, geography, one-line thesis.
10. Problem and customer: who suffers, how often, and current alternatives.
11. Product and insight: technical or commercial differentiation.
12. Market: bottom-up sizing, segments, and timing.
13. Business model: pricing, revenue logic, acquisition, unit economics.
14. Traction: revenue, users, retention, growth, partnerships, pilots.
15. Team: founder-market fit and execution capacity.
16. Competition and moat: direct, indirect, and AI-platform risk.
17. Risks: three strongest reasons the investment could fail.
18. Recommendation: invest / pass / monitor, with conditions and next diligence steps.

Final Demo Day task: Each student presents a 3-minute investment-committee recommendation using their pitch scorecard, memo, portfolio exercise, sector map, and AI-defensibility assessment.

Assessment rubric

Criterion	Weight	Excellent work
Pitch evaluation	20%	Clear framework, evidence-based scoring, specific red flags, actionable diligence questions.
Investment logic	20%	Clear thesis, evidence-based reasoning, explicit risks, decisive recommendation.
Market and sector research	20%	Current, India-relevant, properly sourced, primary-source led.
Financial and portfolio thinking	20%	Sensible reserves, ownership, diversification, concentration limits, exit logic.
AI defensibility	10%	Moves beyond "uses AI" to data, workflow, distribution, retention, and platform risk.
Communication and sourcing	10%	Concise memo, clean deck, confident presentation, dated and credible sources.

Core references: Bain & Company, India Venture Capital Report 2026; EY–IVCA Indian PE/VC Q1 2026 report; SEBI Master Circular and September 2025 angel-fund amendments; Chambers Venture Capital 2026: India; a16z, "Why AI Moats Still Matter and How They've Changed"; Benjamin Ball, Investor Pitch Deck Audit.

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